

complaint

Mr B is unhappy that UK General Insurance (Ireland) Limited ("UK General") cancelled his home insurance policy from the start date and treated it as though it never existed. He wants them to remove any record of this cancellation and pay his claim.

background

In this complaint, any reference to what Mr B has told us includes what his representative has told us on his behalf. Also, although Mr B took out his policy with a different company, because this company was acting on UK General's behalf, I'm referring to this company as UK General too.

In May 2013 Mr B arranged his home insurance with UK General by phone. During this call, Mr B was asked a number of questions about his property, his personal circumstances and previous claims he'd made. Mr B told UK General about a legal expenses claim he'd made. But he also needed to tell them about a theft claim he'd made.

In January 2014 Mr B made a claim against his policy. When UK General found out about the undisclosed theft claim they wrote to him to tell him that his policy would be cancelled from the start date. UK General say that had Mr B told them about the theft claim, they wouldn't have offered him insurance.

Mr B says he forgot about the theft claim but he doesn't think it makes a difference. He says he told UK General about the far bigger legal expenses claim that he'd made under his home insurance policy. Because of what they're saying about the undisclosed theft claim, he can't understand why they offered him insurance given he disclosed a far bigger claim. So, he thinks they shouldn't have offered him insurance in the first place. Mr B also thinks he wasn't asked clear questions during his application call and not enough care was taken by the advisor to get his full claims history. Mr B has told us that, because his policy has been cancelled, he's now having difficulty getting insurance.

Our adjudicator looked at this complaint and thought it shouldn't be upheld. He thought that Mr B needed to tell UK General about the theft claim, and had he have done so during the application call, he didn't think he'd have been offered insurance with them. Our adjudicator also thought that Mr B was asked a clear question during the application call which, if answered correctly, would have required Mr B to tell UK General about both prior claims. Although our adjudicator didn't think Mr B had deliberately given false information, he did think he'd acted carelessly. So, our adjudicator thought that UK General had fairly and reasonably cancelled Mr B's home insurance policy from the start date.

Because Mr B didn't agree with the adjudicator, his complaint has been passed to me.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I'll start by explaining that, although Mr B took out home insurance and legal expenses insurance during his application call, these were separate policies. Mr B's legal expenses policy was provided by a different insurer to his home insurance policy. Whilst this may not have been the arrangement Mr B had before for this type of cover (he says both insurances

were provided under one policy by one insurer) this was how it was set up at the time of this sale. It follows that, in looking at whether UK General are correct in saying the theft claim would have made a difference to their offer of insurance, I'm just looking at their underwriting criteria for home insurance. That said, I'm happy that the previous legal expenses claim didn't make a difference to Mr B being offered the legal expenses insurance policy. I can understand why Mr B may think that his much larger legal expenses claim should have affected UK General's offer of insurance. But because of how the insurances were set up (two different insurers) and because UK General's underwriting criteria didn't take into account legal expenses claims, it didn't.

I've looked at UK General's underwriting criteria that applied at the time Mr B took out his policy with them. Having done so, I'm happy that a theft claim in the amount of Mr B's would have made a difference to their decision to offer him insurance. So, had he told them about it, I don't think they'd have offered him insurance.

In his written view, the adjudicator outlined what claims question Mr B was asked by UK General, what Mr B's response was and the follow up question and answer. Having listened to the recording of this call, I'm happy that the adjudicator has outlined the key questions and answers correctly. Mr B has been sent a copy of this recording and he's not said anything that suggests the adjudicator's mini-transcript was inaccurate.

I think clear questions were asked by UK General. I think the first question Mr B was asked clearly mentioned home insurance and the time period UK General were interested in knowing about. The question asked about "any" home insurance claims or reported losses. I think it was clear from this that UK General wanted to know about *all* claims/losses not just the biggest. It wasn't a long question and the advisor didn't rush this question. Mr B answered by saying "*no, but*" and then went on to talk about his legal expenses claim. At the end of his answer, the advisor asked a follow up question "*as long as there were no claims on the home insurance itself or reported losses...is that right.*". Again, this question was unhurried. I think it should have been clear from what the advisor said that Mr B needed to tell her about his theft claim too. But he didn't – he responded saying it was fine.

That being the case, I need to look at whether Mr B acted with reasonable care in answering the advisor's questions. Whether Mr B acted with reasonable care or not is important in deciding whether UK General fairly and reasonably cancelled his policy from the start. As I've explained, I think the theft claim would have made a difference to UK General's decision to insure Mr B. So, it's only if I think Mr B acted with reasonable care when he answered UK General's questions that I would conclude UK General acted unfairly in cancelling his policy. If I think Mr B didn't act with reasonable care, then UK General will have fairly and reasonably cancelled his policy.

So, I've thought about what he says he understood home insurance to include. I can understand that different insurers' varying definitions of home insurance may cause confusion. That said, even if I accept what Mr B's said, that he disclosed a previous home insurance claim and he disclosed the biggest one, that doesn't mean he didn't need to disclose his other smaller claim. It seems that Mr B's understanding caused him to think home insurance was wider than UK General did. So, on his understanding, he should still have realised that he needed to tell them about the theft claim.

I agree with the adjudicator. I don't think Mr B deliberately didn't tell UK General about one of his previous claims. I think he simply forgot about it so didn't mention it. But he needed to tell them about it. And had he have done, it would have made a difference. He wouldn't have

been offered insurance with them. Having listened to the full application call, Mr B didn't appear to be struggling to understand what he was being asked at any time. He seemed able to challenge some of what he was being told. And when he was asked about other additional products, he very clearly stated he wasn't interested. I don't think there were any signs of pressure or aggressive practices being applied that may have affected Mr B's answers during the call.

From what Mr B's said, I understand that he didn't see his policy documents until after his policy was cancelled. He says this was because he was sent an email with a link to access them but this went to his junk mail folder. Whilst this may have happened, and Mr B might have only recently seen his policy documents, I don't think this is UK General's fault. I say this because, during the application call, it was made clear that an email would be sent with a link and what personal details he needed to use to access his documents. So, Mr B should have been expecting an email. I don't think UK General are responsible for making sure Mr B had accessed his document and calling him to remind him if not. If Mr B was having problems accessing his documents, or hadn't otherwise received documents he was expecting, I'd have thought he'd have called UK General. It was Mr B's responsibility to access the documents and let UK General know if something wasn't correct.

Mr B's also unhappy about how his request for a transcript of the application call, or recording itself, was dealt with. I've not seen anything that makes me think UK General didn't deal with this request as they should. Even if I'm wrong about this, I know that Mr B has been given a copy of this recording now. And he's had an opportunity to send me any comments that he wanted to make having been able to listen to it. Because he's not been charged anything on being given this recording and he's had an opportunity to comment, I don't think he's suffered any loss or otherwise been materially affected.

For the reasons explained above, I'm not upholding Mr B's complaint.

my final decision

My final decision is that I don't uphold Mr B's complaint against UK General Insurance (Ireland) Limited.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr B to accept or reject my decision before 2 October 2015.

Lisa Wright
ombudsman